RESIDENTIAL RENTAL AGREEMENT

Agreement 04 — Automatic renewal and missing opt-out test case

TEST DATA NOTICE: This is a fictional synthetic agreement created solely for testing ClauseLens. It is not legal advice and must not be signed or used as a real contract.

PARTIES AND DATE

This Residential Rental Agreement is entered into on 1 September 2026 by Sandeep Iyer (“Landlord”) and Tara Bansal (“Tenant”) for House 27, Palm Grove Layout, Bengaluru, Karnataka 560103. All details are fictional and intended for software testing.

1. PREMISES

The Landlord rents to the Tenant the furnished two-bedroom house at House 27, Palm Grove Layout, Bengaluru. The Premises includes a kitchen, two bathrooms, a small garden, and one covered parking space. Use is limited to residential purposes. The Tenant shall not operate a public-facing business or permit unlawful activity.

2. INITIAL TERM

The initial term starts on 1 October 2026 and ends on 30 September 2027. Possession begins after payment of the first month’s rent and security deposit. The Tenant shall notify the Landlord promptly of any condition that threatens safety or could cause significant damage.

3. RENT AND PAYMENT

Monthly rent is ■30,000, payable on or before the fifth day of each month. Payment shall be made electronically to the bank account designated by the Landlord. Rent is payable for the entire period of occupation, subject to any written adjustment or applicable legal requirement.

4. SECURITY DEPOSIT

The Tenant shall pay ■90,000, equal to three months of rent, as an interest-free refundable security deposit. The deposit may cover unpaid rent, unpaid utilities, missing keys, and damage beyond normal wear and tear. The Landlord shall not charge for ordinary deterioration caused by normal residential use.

5. AUTOMATIC RENEWAL

At the end of the initial term, this Agreement automatically renews for successive twelve-month periods unless the Landlord gives written notice of non-renewal at least ninety days before the end of the current term. This clause does not expressly provide the Tenant with a corresponding right to opt out of automatic renewal. The Parties should review this asymmetry before signing; the clause is intentionally included as a risk-detection test case.

6. NOTICE AND EARLY EXIT

The Tenant may request early termination by giving sixty days’ written notice, but Clause 5 states that automatic renewal occurs unless the Landlord gives timely non-renewal notice. The Agreement does not expressly state whether a Tenant’s early-termination notice prevents a future automatic renewal. The Landlord may seek termination for material breach after written notice and subject to applicable law. This drafting gap is intentional for evaluation.

7. RENT ESCALATION

On each renewal anniversary, monthly rent increases by seven percent over the rent payable immediately before renewal. If the initial rent is ■30,000, the first renewal rent would be ■32,100 if the Agreement renews and the increase is applied. Any later increase is calculated on the then-current rent.

8. UTILITIES AND TAXES

The Tenant shall pay electricity, water consumption, cooking gas, and internet charges. The Landlord shall pay property tax and building-owner assessments. Garden maintenance of ■1,200 per month shall be paid by the Tenant. The Tenant must provide copies of utility payment receipts on reasonable request.

9. REPAIRS

The Landlord shall arrange structural repairs and repairs to concealed plumbing and fixed electrical systems not damaged by the Tenant. The Tenant shall maintain cleanliness, avoid overloading electrical outlets, and promptly report leaks or pests. Costs arising from the Tenant’s misuse or negligence are the Tenant’s responsibility after reasonable supporting documentation is provided.

10. LANDLORD ACCESS

The Landlord may enter after twenty-four hours’ notice for inspection, maintenance, or to show the Premises to prospective tenants during the final three months of a term. Entry without notice is limited to a genuine emergency. Visits must occur at reasonable times and should minimise disruption.

11. OCCUPANCY AND TRANSFER

The Premises may be occupied by Tara Bansal and one family member. The Tenant may not sublet or assign the Agreement without prior written consent. Temporary guests are permitted if they comply with the house rules and do not become permanent occupants without written approval.

12. INVENTORY

The Premises is provided with a refrigerator, washing machine, two air conditioners, one dining table, four chairs, two beds, two wardrobes, and garden tools. The Parties shall sign an inventory and photograph any existing damage. Missing items or damage beyond ordinary wear and tear may be charged against the deposit with an itemised explanation.

13. DEFAULT

A Party alleging a material breach shall provide written notice and a reasonable opportunity to remedy the breach where appropriate. Rent unpaid for more than ten days after written demand is a material breach. Nothing in this Agreement permits unlawful self-help eviction or overrides mandatory tenant protections.

14. DISPUTES

The Parties shall first attempt to resolve disputes in writing. If unresolved, either Party may approach the competent authority or court with jurisdiction over the Premises. Applicable Indian law and relevant state requirements govern this Agreement.

15. ENTIRE AGREEMENT

This Agreement, the inventory, and any signed handover report form the complete agreement. Changes must be recorded in writing and signed by both Parties. The Parties should clarify the interaction between automatic renewal and Tenant termination before executing the document.

LANDLORD _____ **TENANT** _____

Signature lines are included only to make the layout realistic. This synthetic test document is not intended for execution.